

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

THOMPSON PIPE GROUP, INC.
COMPLAINANT

v.

OMNI LOGISTICS LLC,
RESPONDENT.

**RESPONDENT OMNI LOGISTICS LLC’S MOTION TO
DISMISS FOR LACK OF SUBJECT MATTER JURISDICTION AND FOR
FAILURE TO STATE A CLAIM UPON WHICH RELIEF CAN BE GRANTED**

Respondent Omni Logistics, LLC (“Omni”) respectfully moves the Federal Maritime Commission (the “Commission”) for an Order dismissing the Complaint of Complainant Thompson Pipe Group, Inc. (“Complainant”), on the grounds that (1) the Commission lacks subject matter jurisdiction over this dispute because the Complaint’s allegations relate to conduct that is not subject to regulation by the Commission since Omni did not perform any “common carrier” services on behalf of Complainant; (2) Complainant’s allegation that Omni violated 46 U.S.C. § 41102(c) utterly fails to provide any factual detail as to how Omni has violated that statute; and (3) even if Omni *were* a “common carrier,” 46 U.S.C. §§ 41104(a)(15) and 41104(d) were only signed into law on June 16, 2022, and the conduct that Complainant alleges violates those statutes predates the effective date of those statutes. A memorandum in support of this Motion is attached hereto.

MEMORANDUM IN SUPPORT

I. INTRODUCTION AND RELEVANT FACTS

Complainant improperly asks the Commission to order reparations for Omni's alleged violations of the Shipping Act. As a predicate to such relief, Complainant alleges in conclusory fashion that Omni is a "common carrier." But Complainant fails to satisfy its heavy burden to establish the Commission's jurisdiction over this dispute by demonstrating a link between Omni's regulated status and the conduct that allegedly violates the Shipping Act. Because Omni did not in any way act as "common carrier" with respect to Complainant's loads the Commission lacks jurisdiction over the allegations in the Complaint. For these reasons, among others more fully discussed below, the Commission must dismiss the Complaint.

Complainant filed its Verified Complaint pursuant to 46 U.S.C. § 41301(a) (the "Complaint") on November 29, 2022, asserting claims under 46 U.S.C. § 41102(c) (Count I) and 46 U.S.C. § 41104 (Count II). The Complaint alleges that the Commission "has subject-matter jurisdiction . . . pursuant to the Shipping Act of 1984" and "personal jurisdiction over TPG¹ [sic] as a "common carrier" as defined in 46 U.S.C. § 40102(7)." (Complaint, ¶¶ 5, 6, 8). Complainant alleges that it "contracted [with] Omni . . . to provide carriage of containers from ports outside the United States to ports in the United States to TPG's job sites in the United States through ports in the United States." (Complaint, ¶ 11) (emphasis added).

As demonstrated below, these jurisdictional allegations are simply false. To begin with, Omni is not even the proper party to this dispute. Omni is the parent company of Epic Freight Solutions LLC ("Epic"), the entity with which Complainant actually contracted. Omni acquired

¹ Presumably, Complainant intended to allege that the Commission has personal jurisdiction over *Omni* as a "common carrier," as Complainant consented to the Commission's personal jurisdiction by filing the Complaint.

Epic via a stock purchase in April 2021. (See **Exhibit A**, Declaration of Yohanse Manzanarez (“Manzanarez Dec.”), ¶ 10; **Exhibit B**, Declaration of David Ikemoto (“Ikemoto Dec.”), ¶ 5). Omni itself merely performed various back-office services on Epic’s behalf, including the issuance of invoices for services rendered, and on a few occasions, arranged for domestic drayage services on behalf of Complainant. (Ikemoto Dec. ¶¶ 12, 13).

The contract that Complainant references, along with the terms and conditions incorporated into that contract by reference (collectively, the “Contract”), is attached hereto as **Exhibit A-1**. The Contract was executed by U.S. Composite Pipe South LLC which was formerly known as or is a successor in interest to Thompson Pipe Group, Inc. (Manzanarez Dec. ¶ 8). That Contract contains a “Shipping Agreement” regulated by the Transportation Security Administration – not the Commission – and reflects Epic’s agreement to provide indirect air carrier services to Complainant. (See **Exhibit A-1**, p. 1; Ikemoto Dec., ¶ 8). The Contract also reflects Epic’s agreement to provide Complainant with customs brokerage services – regulated by Customs and Border Protection, not the Commission – which are the subject of a Customs Power of Attorney Complainant executed. (See **Exhibit A-1**, p. 2; Ikemoto Dec., ¶ 8). Finally, the Contract reflects Epic’s agreement to provide surface freight forwarding services – regulated by the Federal Motor Carrier Safety Administration (“FMCSA”), not the Commission – under FF10024. (See **Exhibit A-1**, p. 5; Ikemoto Dec., ¶ 8). In other words, Complainant did not contract with Epic to operate as a common carrier under the jurisdiction of the Commission.

The Contract also provides that Complainant is “liable to [Epic] for payment of all freight, demurrage, [and] detention” charges. (**Exhibit A-1**, p.5 (Terms and Conditions, § 12(e)). Nevertheless, Complainant counterintuitively alleges that it found the demurrage charges “to be excessive,” despite having agreed to pay them on the face of the Contract. (Complaint ¶¶ 16, 31).

Despite asserting no facts that indicate Omni's role as a common carrier, the Complaint purports to assert a claim under 46 U.S.C. 41104(a). That statute, by its plain language, applies to *common carriers*. 46 U.S.C. § 41104(a) (“A **common carrier**, either alone or in conjunction with any other person, directly or indirectly, shall not. . .”) (emphasis added). Epic and Omni are patently **not** common carriers under the Shipping Act for purposes of this case since, among other things, Epic never provided any common carrier services to Complainant. *See* 46 U.S.C. § 40102(7) (a “common carrier” is one who “(i) holds itself out . . . to provide transportation **by water**; (ii) assumes responsibility for the transportation . . . and (iii) **uses** . . . **a vessel**”) (emphasis added); (Epic Dec. ¶ 11). Instead, Epic merely retained foreign agents which, in turn, engaged ocean common carriers and NVOCCs to ship Complainant's goods. (Ikemoto Dec., ¶ 9). Engaging in such conduct does not amount to common carriage under the Shipping Act.

Moreover, even if Omni or Epic *were* a “common carrier” (which they are not), Complainant's efforts to allege violations of Section 41104 based on conduct that predated the enactment of Ocean Shipping Reform Act of 2022, 46 U.S.C. § 41104 (“OSRA-22”) would be futile as a matter of law. OSRA-22 was signed into law on June 16, 2022 and contains no retroactivity provisions. Specifically, OSRA-22 contains no indication of retroactive application of the invoicing requirements found at Section 41104(a)(15) nor the prohibition on collection of certain invoiced charges at Section 41104(d). Yet, with the exception of just a few invoices, the Complainant alleges invoices that pre-date enactment of the statute should be found to violate OSRA-22. Therefore, because the well-recognized presumption against retroactivity applies, the Complaint fails to state a claim under OSRA-22 for Omni's invoices issued before June 16, 2022.

The Commission must dismiss the Complaint for all of these reasons.

II. LAW & ARGUMENT

A. The Commission's Rule 12 Standard

Rule 12 of the Commission's Rules of Practice and Procedure (the "Rules") states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in such cases. *See, e.g., The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, Docket No. 06-02, 2007 WL 2468431 (F.M.C. Aug. 2, 2007).

1. Lack of Subject Matter Jurisdiction

Motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1) may assert either a factual attack or a facial attack to jurisdiction. *See Marine Transport Logistics, Inc. v. CMA CGM (America) LLC*, No. 22-23, 2022 FMC LEXIS 433 * (F.M.C., Oct. 3, 2022). A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." *Id.* In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. *Id.*

As a general rule, the Commission has found that any issue related to jurisdiction over the parties and the subject matter of a case must be resolved before reaching the merits. *Government of the Territory of Guam, et al. v. Sea-Land Service, Inc., et al.* 28 S.R.R. 252, 265 (1998).

2. Failure to State a Claim

To survive a motion to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 677 (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC No. 09-01, Order at 19-20 (FMC Aug. 1, 2011) (Order Denying Appeal, etc.).

The first step typically is to identify legal conclusions in pleadings that are not entitled to the assumption of truth. *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 58 (FMC 2015). These conclusions can provide a framework, but they must be supported by factual allegations. *Id.* The second step is to assume the truth of the factual allegations and determine “whether they plausibly give rise to an entitlement to relief.” *Id.* The factual allegations needed to reach plausibility vary depending on the complexity of the case, “both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind, the dots should be connected.” *Id.* “Determining whether a complaint states a plausible claim for relief will . . . be a context-specific task that requires the reviewing court to draw on its judicial experience and common sense.” *Id.*

D. The Commission lacks subject matter jurisdiction over this dispute because Omni did not perform any “common carrier” services on behalf of Complainant.

The Commission’s jurisdiction is limited. *See, e.g., Trans-Pac. Freight Confer. of Japan v. Fed. Mar. Bd.*, 302 F.2d 875, 880 (D.C. Cir. 1962) (holding that agency can exercise only those powers conferred by Congress). The Shipping Act provides, among other things, that a “person may file with the . . . Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-99 (FMC 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000).

The Commission has an independent obligation to ensure it has jurisdiction. *Crowley Liner Servs., Inc. and Trailer Bridge, Inc. v. P.R. Ports Auth.*, 29 S.R.R. 394, 396 (ALJ, 2001) (“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.”). It has jurisdiction only over proceedings in which the allegations “involve elements peculiar to the Shipping Act.” *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000). The party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter jurisdiction. *Branon v. Debus*, 289 Fed. Appx. 181, 183 (9th Cir. 2008); *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 FMC LEXIS 33, *10 (FMC 2007).

Moreover, “the fact that [an entity] is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c)”, nor subject to the Commission’s jurisdiction. *See Auction Block Co. v. City of Homer* (“*Auction Block I*”), 33 S.R.R. 589, 2014 FMC LEXIS 16

(FMC 2014), *aff'd sub nom. Auction Block Co. v. Fed. Mar. Comm'n* (“*Auction Block II*”), 606 Fed. Appx. 347 (9th Cir. 2015). There must also be a link between the respondents’ regulated status and the conduct that allegedly violates the Shipping Act. *See Auction Block II*, 606 Fed. Appx. at 347-48.

Here, Complainant alleges that “[a]t all relevant times Omni was a licensed non-vessel-operating common carrier (NVOCC), License No. 18469,” and that “Omni was a ‘common carrier.’” (Complaint, ¶¶ 4, 5). Even if Omni were the properly named party instead of Epic, these allegations are not enough to confer jurisdiction on the Commission. *See Auction Block*, 33 S.R.R. 589, 2014 FMC LEXIS 16 (FMC 2014) (“the fact that [an entity] is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c)”). As the Commission has held, a link must exist between the respondent’s regulated status and the conduct that allegedly violates the Shipping Act. *See Auction Block II* at 347-348. In *Auction Block II*, the Ninth Circuit Court of Appeals affirmed the Commission’s dismissal of a complaint for lack of jurisdiction. That case addressed whether a city was a “marine terminal operator” under the Shipping Act with respect to a dock at which the city did not provide terminal facilities “in connection with a common carrier” under 46 U.S.C. § 40102(15). It was clear that the city *was* a “marine terminal operator” with respect to *some* of its docks at which it provided terminal facilities to common carriers. *Id.* at 347. The Ninth Circuit observed that “[t]he Shipping Act is silent on the question posed here—whether, in interpreting the definition of ‘marine terminal operator,’ the Commission should consider all facilities operated by the defendant or just the facilities at issue in the dispute. *Id.* at 348 (noting that “[t]he agency reasonably chose the latter interpretation.”). The Court noted that “[p]remising jurisdiction on all facilities operated by a defendant would potentially create absurd results inconsistent with the purposes of the Shipping Act.” *Id.* (“Adopting a contrary interpretation

would compel the Commission to decide cases entirely unrelated to the carriage of cargo by sea—involving, for example, an inland railyard.”). The Court held that “[t]he facility-specific interpretation adopted by the Commission reasonably limits its jurisdiction to those cases with a connection to international shipping.” *Id.*

In *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc.*, 1 F.M.C. 2d 403 (2016), the Commission affirmed the dismissal of a claim under 46 U.S.C. § 41102(c) against an NVOCC respondent because the respondent did not act as a regulated entity during the transportation underlying the Complaint. Accordingly, the respondent “did not fall within the ambit of § 41102(c),” and the Commission lacked jurisdiction over the claim against the respondent. *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc.*, 1 F.M.C. 2d 403, 411 (2016). Importantly, in *Crocus*, the complainant alleged that the respondent acted as NVOCC on a Dubai-to-U.S. shipment, but the applicable bill of lading contradicted this allegation, identifying the respondent as the “consignee” on the shipment. *Id.* at 412 (noting that the complainant “has the burden of proving that [respondent] was acting as a regulated entity” and that the “burden does not shift to respondent.”).

Like the complainant in *Auction Block*, Complainant here seeks to establish the Commission’s jurisdiction based, at least in part, on the fact that Omni holds an NVOCC license. However, Omni did not provide any of the alleged services to Complainant pursuant to that NVOCC license. Indeed, Omni did not provide any services to Complainant that subject Omni to the Commission’s jurisdiction. Omni provided indirect air carrier services, customs brokerage services, and surface freight forwarding services to Complainant, all of which are regulated by agencies other than the Commission. (Ikemoto Dec., ¶ 8). Premising jurisdiction on Omni’s

NVOCC license in this case “would potentially create absurd results inconsistent with the purposes of the Shipping Act.” *See Auction Block II* at 348.

Similarly, like the allegations in *Crocus*, Complainant’s allegations that Omni acted at all relevant times as a “common carrier” or an “ocean transportation intermediary” are unsupported. Indeed, no contract between Complainant and Omni identifies Omni as a “common carrier,” and neither does any ocean bill of lading. (Ikemoto Dec., ¶ 5). In fact, certain shipping paperwork simply refers to Epic as a “notify party,” a “consignee,” or a “destination agent.” (*Id.* ¶ 7). Neither Epic nor Omni ever issued an ocean bill of lading to Complainant or directly arranged for a single ocean shipment of goods. (*Id.* ¶ 16). Again, Epic merely retained foreign agents on Complainant’s behalf which, in turn, engaged ocean common carriers or NVOCCs to ship Complainant’s goods. (*Id.* ¶ 9). This does not amount to common carriage under the Shipping Act. Complainant has the burden of establishing the Commission’s jurisdiction, and its conclusory and unsupported allegations in the Complaint fail to do so.

To be clear, Omni did not act as a common carrier with respect to any of Complainant’s shipments. A “common carrier” is defined in the Shipping Act, as one who “holds out” to the “general public to provide transportation by water” and “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. §40102(7). The Commission has found that no single factor of an entity’s operation is determinative of its status as a common carrier. *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965). Rather, the Commission evaluates the indicia of common carriage on a case-by-case basis. *Id.*

a. Holding Itself Out

The first factor is whether the entity “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation.” 46 U.S.C. § 40102(7)(A)(i). The Commission has explained:

The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates.

Rose Int’l, Inc., 29 S.R.R. at 162 (citation omitted).

While Omni does have NVOCC authority subject to the Commission’s jurisdiction, it did not hold itself out to Complainant, in this instance, as a common carrier. Neither Epic nor Omni agreed to provide Complainant any actual transportation by water, and neither Epic nor Omni ever performed any common carrier services on Complainant’s behalf. Complainant has not alleged any facts whatsoever to the contrary. Complainant shipped its goods through international agents, which Epic retained on Complainant’s behalf, and which, in turn, hired ocean carriers or NVOCCs to perform the actual ocean transportation of Complainant’s goods. (Ikemoto Dec. ¶ 9).

b. Assumes Responsibility

The second factor is whether the entity “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. § 40102(7)(A)(ii).

In *Common Carriers by Water*, [6 F.M.B. 245, 250 (1961)], the Federal Maritime Board noted that an entity may be considered a common carrier even if it attempts to disclaim liability because liability may be imposed by operation of law. 6 F.M.B. at 256. However, “[a]ctual liability as a common carrier over the entire journey including the water portion is essential” to determine common carrier status. *Id.* Although the Commission has not focused on this aspect of common

carrier status, favoring the “holding out” analysis, it remains an essential element of the “common carrier” definition in the Shipping Act. 46 U.S.C. § 40102([7])(A)(ii). *In the Matter of the Lawfulness of Unlicensed Persons Acting as Agents for Licensed Ocean Transp. Intermediaries*, 31 S.R.R. 185, 199 (FMC 2008).

While issuing bills of lading may demonstrate a course of conduct sufficient to establish assumption of responsibility, neither Epic nor Omni issued any ocean bills of lading. Further, no contract between Omni (or Epic) and TPG identifies or describes Omni (or Epic) as a common carrier. Omni and Epic are listed on certain shipping paperwork simply as a “notify party,” or, in some cases, a “consignee” or a “destination agent,” which further corroborates that neither entity ever operated as a common carrier. (Ikemoto Dec. ¶ 7).

Here, neither Epic nor Omni agreed to assume liability for any ocean shipment, and it would not make any sense for either entity to have done so, as Epic merely retained foreign agents, which in turn, arranged for ocean transportation via common carrier or NVOCC to transport Complainant’s goods. No party multiple levels removed from the actual transportation would agree to assume responsibility for the shipment. Indeed, there is no contract document that indicates that Omni or Epic assumed responsibility for any ocean shipment. (Ikemoto Dec. ¶¶ 5-6). Complainant does not allege that either entity did because it *cannot* allege that they did.

c. International Transportation by Water

As required by the Shipping Act, to qualify as a “common carrier,” a party must have performed international transportation by water. However, Complainant does not allege that either Epic or Omni themselves provided the international transportation by water of the shipments in question. *See Logfret, Inc. v. Kirsha, B.V., et al.*, 1 F.MC.2d 419 (F.M.C. 2019) (dismissing complaint that did not sufficiently allege that respondent was a common carrier).

Because each did not (1) hold themselves out as common carriers to Complainant; (2) assume responsibility for any shipment; or (3) actually provide any international transportation by water, neither Epic nor Omni performed any “common carrier” services on behalf of Complainant.

E. Count I fails to state a claim because it fails to allege how Omni has failed to “establish, observe, and enforce just and reasonable regulations and practice relating to or connected with receiving, handling, storing, or delivering property.”

Even if the Commission did have subject matter jurisdiction over this dispute, Complainant fails to allege, with any level of factual detail, how Omni² has failed to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” under 46 U.S.C. § 41102(c).

To state a claim for a violation of Section 41102(c), a complainant must demonstrate that a regulation or practice be engaged in on a “normal, customary, and continuous basis” – as well as a finding that the practice or regulation is unreasonable. *See* 46 C.F.R. § 545.4 (“This interpretive rule clarifies that in order to violate § 41102(c), a regulated entity must engage in an unjust or unreasonable practice or regulation on a normal, customary, and continuous basis”). Complainant alleges, without any support, that Omni’s conduct “occurred on a normal, customary, and continuous basis.” (Complaint ¶ 33(b)). This allegation is not entitled to the presumption of truth because it is a mere legal conclusion. *See Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 58 (FMC 2015).

Moreover, the facts Complainant *does* allege, do not support that Omni has engaged in an unjust or unreasonable practice. *See, e.g., Maersk Line A/S v. Carew*, 588 F.Supp.3d 493, 507 (S.D.N.Y. 2022) (Plaintiff “points to no evidence or grounds for why [defendant’s] collection of

²² For the balance of this memorandum, the Commission can assume that the word “Omni” also includes Epic, the party that Complainant should have named.

the invoiced demurrage and detention charges would violate the Shipping Act ... and instead just relies on conclusory statements to that effect”). Omni’s alleged conduct is simply not the kind of conduct that has been held to violate the Shipping Act. *See, e.g., Carlstar Group LLC f/k/a Carlisle Transportation Products, et al. v. UTI, United States, Inc., et al.*, Docket No. 17-08, 2018 WL 2356145 (F.M.C.), 1 F.M.C.2d 103 (dismissing claim alleging violation of 46 U.S.C. § 41102(c) where the allegations in the Complaint “relate[d] to conduct that occurred after completion of the transportation,” such as discrepancies in amounts billed and that amounts that should have been billed).

In *Carlstar*, the Commission granted a respondent NVOCC’s motion to dismiss an alleged violation of § 41102(c) where “[n]one of Complainants’ claims allege[d] any mishandling of cargo or any failure by [respondent] to appropriately transport or deliver [respondent’s] cargo as instructed. Instead, Complainants’ claims relate[d] to shipping rates and billing practices, about which [Complainant], very belatedly, developed ‘concerns.’” *Id.* at *15 (“Aside from a formulaic recitation of the statutory provision, Complainants have failed to provide any factual basis to allege a violation of § 41102(c)”). Indeed, as the respondent in *Carlstar* argued, with which the Commission apparently agreed, 46 U.S.C. § 41102(c) “relates not to alleged overcharges and billing issues that arise after the shipment has been completed, but to unreasonable practices connected with the handling, storage or delivery of freight and property when it is in the custody of the NVOCC.” *Id.* at *14.

Here, like *Carlstar*, Complainant alleges overbilling that arose after the shipments had been completed. Thus, the Complaint here should be dismissed for failure to state a claim.

F. Count II should be dismissed because it alleges a violation of provisions of 46 U.S.C. § 41104 that were not in effect during the relevant times.

Count II alleges that Omni's conduct violates 46 U.S.C. § 41104. Because that statute applies only to a "common carrier," as that term is defined under the Shipping Act, Count II fails as a matter of law for the reasons described above. Even if Omni did act as a common carrier, 46 U.S.C. §§ 41104(a)(15) and 41104(d) were only signed into law on June 16, 2022 as part of OSRA-22, so the vast majority of invoices, which were issued before that date, are not governed by the recently enacted statutes. (*See* Ikemoto Dec., ¶ 14). Further, Omni's invoices do not relate exclusively to detention and demurrage charges. (*Id.*, ¶ 15). Rather, Omni has invoiced Complainant for a variety of services as well as various out-of-pocket expenses incurred on Complainant's behalf. (*Id.* ¶ 16). Complainant has not provided any support for the proposition that it has paid "an amount in excess of \$860,000.00" in "demurrage or detention charges," which are the only charges governed by the statute. Indeed, Complainant appears to concede that not all of the charges were exclusively for demurrage and detention. (*See* Complaint ¶ 22) (describing invoices paid "for demurrage and other additional charges").

OSRA-22 contains no retroactivity provision. Thus, the well-established presumption against statutory retroactivity applies. *See, e.g., United States ex rel. May v. Purdue Pharma L.P.*, 737 F.3d 908, 915 (4th Cir. 2013) ("[T]he principle that the legal effect of conduct should ordinarily be assessed under the law that existed when the conduct took place has timeless and universal appeal"); *see also Frontier-Kemper Constructors, Inc. v. Dir., Office of Workers' Comp. Programs*, 876 F.3d 683, 688 (4th Cir. 2017) ("[r]etroactivity is not favored in the law"). Accordingly, the new requirements of OSRA-22 pertaining to invoicing requirements and collection of certain invoices do not apply to Omni's invoices issued prior to the enactment of OSRA-22. Even if the Commission were to hold that Complainant has sufficiently alleged that

Omni acted as a common carrier (which the Commission should not), the Commission should dismiss Count II of the Complaint to the extent it alleges violations of Section 41104 related to invoices issued before the enactment of OSRA-22.

Finally, the invoices Omni issued to Complainant did not contain charges exclusively for detention and demurrage. (See Ikemoto Dec. ¶ 15). Complainant acknowledges as much in the Complaint. (See Complaint, ¶ 22) (describing invoices paid “for demurrage and other additional charges”). Indeed, Omni has invoiced Complainant for a variety of services as well as various out-of-pocket charges. (See Ikemoto Dec. ¶ 16). As detention and demurrage charges are the only charges governed by the statute, Count II is meritless to the extent it seeks reparations for charges unrelated to detention and demurrage. Therefore, at the very least, the Commission must dismiss Complainant’s claim to that extent as well.

III. CONCLUSION

Because Omni did not perform any “common carrier” services for Complainant, the Commission does not have jurisdiction over the allegations in the Complaint. Even if the Complaint could clear this jurisdictional hurdle, the Commission should dismiss Count I of the Complaint for failure to state a claim because it does not allege, with sufficient factual detail, how Omni failed to establish reasonable practices with respect to the handling of Complainant’s cargo. Likewise, the disputed invoices that predate the enactment of OSRA-22 are not governed by the requirements of Section 41104. For these reasons, the Commission should dismiss the Complaint with prejudice.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 24th day of January, 2023, a true and correct copy of the foregoing was served via electronic mail on:

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